

Q2 2022

# Edwall Management

# **Edwall Japan Strategies, LP**

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# Executive Summary

## **1. Shareholder activism in Japan is working**

- Cheap target companies and positive regulatory/societal backdrop
- Activists are getting results and generating alpha

## **2. Edwall is structured to capture the alpha of Japanese activism**

- Deep experience and extensive network
- Unique strategy and flexible approach

## **3. Edwall is offering Class A interests**

- Make initial allocations to activist managers
- Source co-investments
- Attractive fee structure

# Edwall Team

## Timothy Foley

- 15 years allocating to managers
- 10 years allocating to Japan

- Chalkstream Capital Group
- EFG Asset Management
- Archery Capital

## Yusuke Suzuki

- 20 years investing in Japan
- Co-Founder of \$3B hedge fund

- Kylin Management
- Tiger Asia
- Gabelli Asset Management

## Between Us:

- Comprehensive understanding of Japan stock market and activist landscape
- Extensive and complementary Japan-centric networks
- Direct experience with shareholder activism in Japan
- Involvement in launching and growing investment businesses

# Investment Objective

We believe that now is the best time in history for shareholder activism in Japan, and that outsized returns can be achieved by:

**1**

Gaining targeted exposure to shareholder activism in Japan



**Multi-Strategy  
Fund**

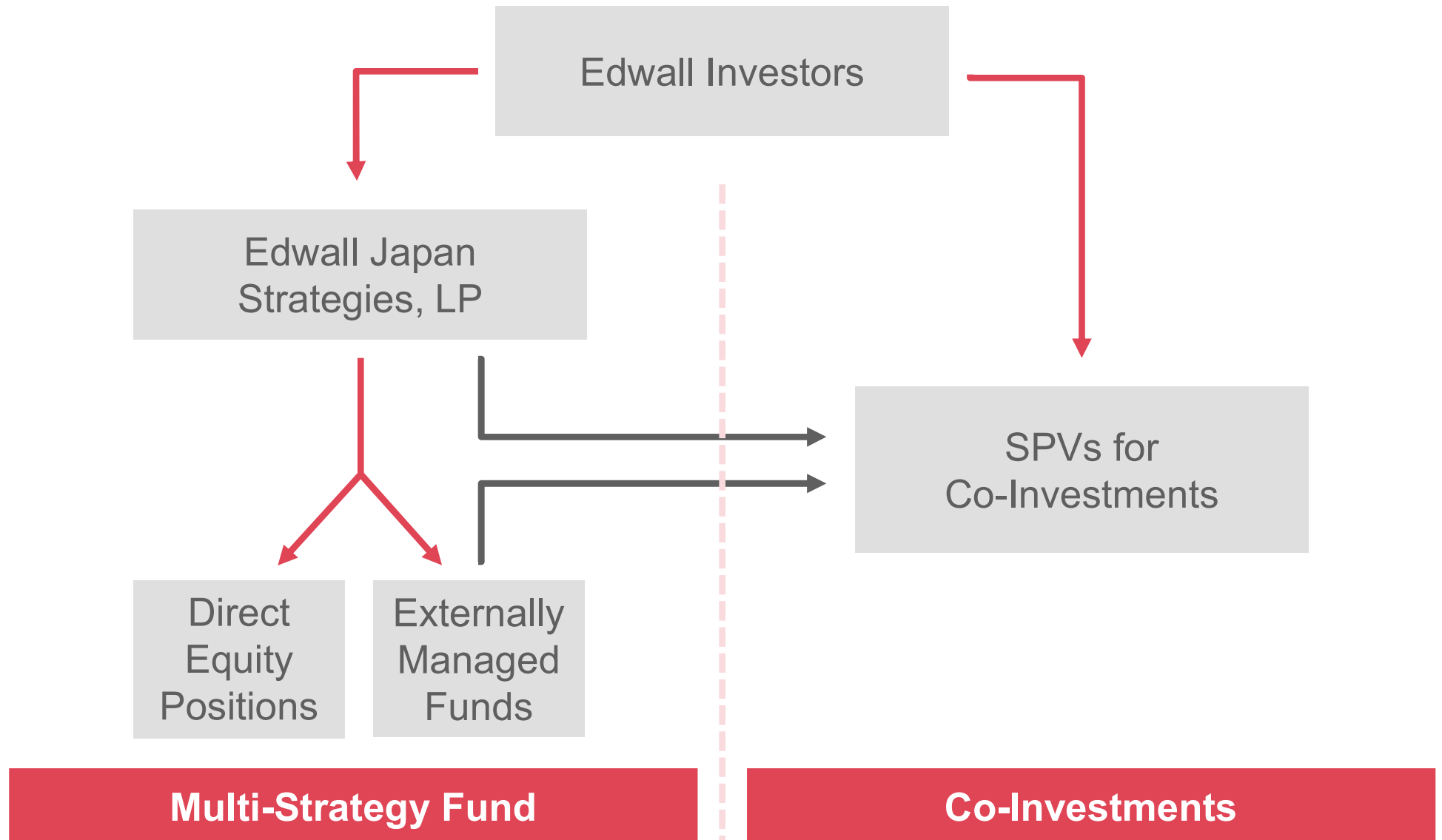
**2**

Scaling into compelling and timely opportunities



**Co-Investments**

# Investment Strategy



# Investment Strategy

## Multi-Strategy Fund

**Targeted exposure to shareholder activism in Japan**

- Allocations to externally managed funds
- Direct investments in Japanese stocks
- Idea sourcing for concentrated co-investments
- Capture “alpha” of Japan activism

## Co-Investments

**Add capital to compelling and timely opportunities**

- Investments into special purpose vehicles
- Pre-determined event path and exit plan
- Identify change of control candidates
- Highly idiosyncratic return profile

# Investment Strategy

**Multi-Strategy Fund**

**Co-Investments**

**Expected Initial Composition\***

**Fund  
Allocations**



- ~5 external fund allocations
- 10-15 large stocks in each fund
- Max fund allocation ~ 30%
- Max underlying stock ~10%

**Direct  
Positions**



- 10-20 single stock positions
- Max position size ~4%

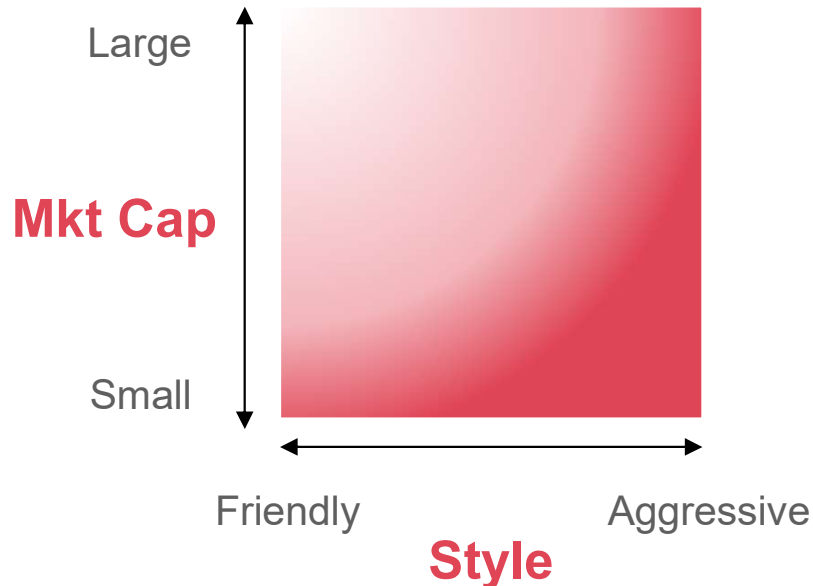


# Investment Strategy

**Multi-Strategy Fund**

**Co-Investments**

**Universe of ~50+ Activist / Engagement Investors in Japan**



- Japan-dedicated funds
  - Activist
  - Engagement / Value / Catalyst
- Global / regional funds
- “Non-fund” investors
  - Individuals
  - Corporates

# Investment Strategy

## Multi-Strategy Fund

## Co-Investments

### Criteria

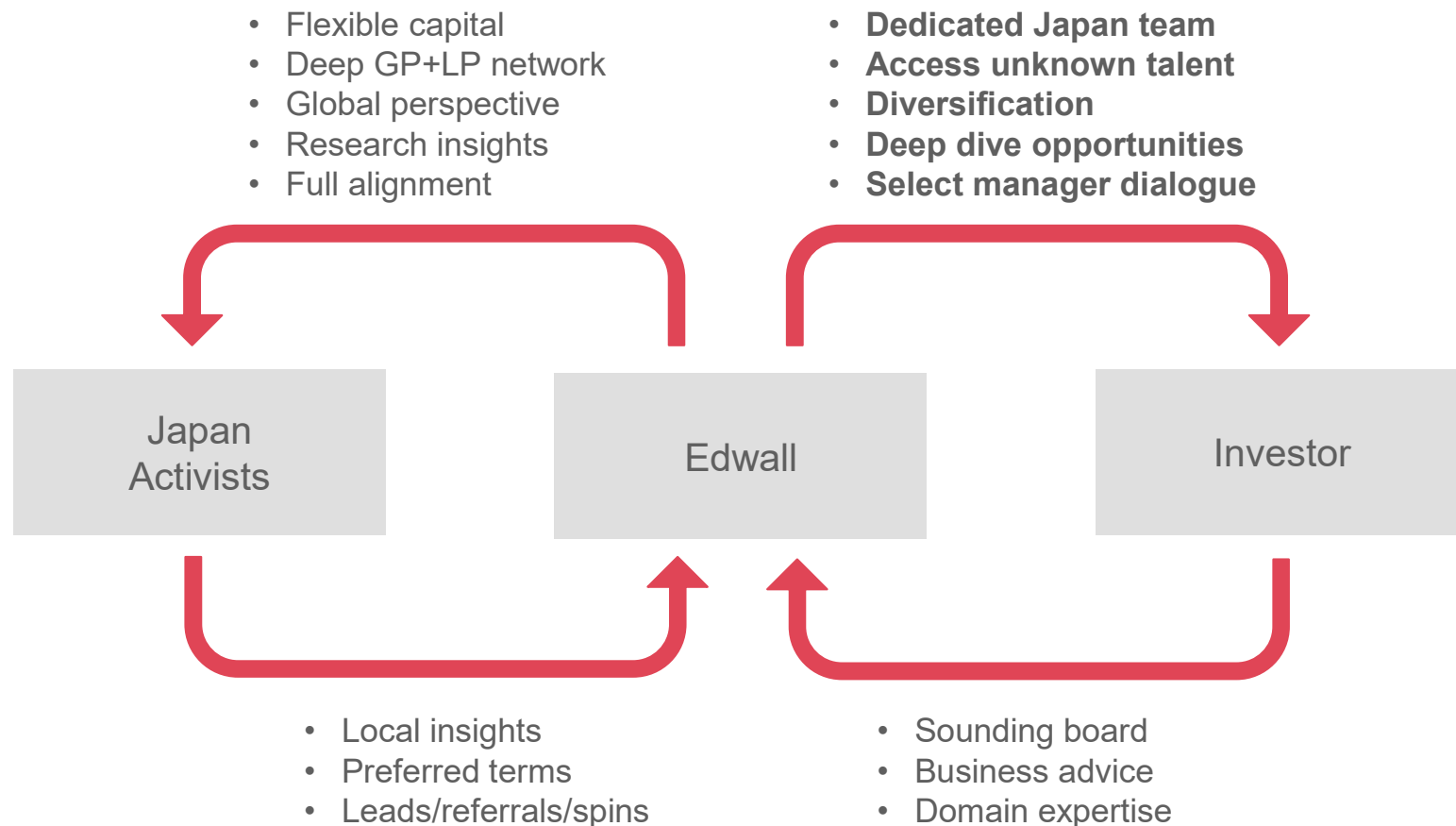
- Max position reached by activist
- Benefit to increased ownership
- Clear pathway to hard catalyst or change of control
- Appeal to PE/strategics
- Prefer no takeover defense
- Independent Edwall diligence

### Expectations

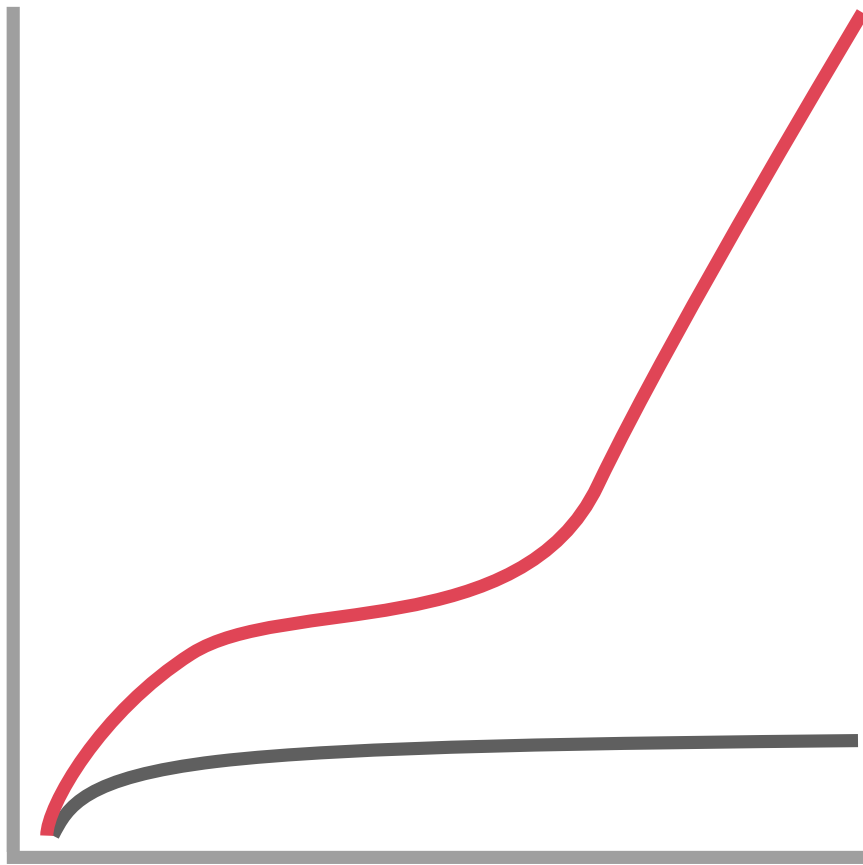
- SPV structure
- Idiosyncratic return profile
- 15-30 days to fund
- Targeting 1-3 co-investments/year
- Ability to deploy significant capital
- Potential to participate in take-private transactions

# Value-Add Participants in a Defined Niche

We believe that by focusing on a small number of deep relationships, we can generate value for all of our partners



# Opportunity in Japan



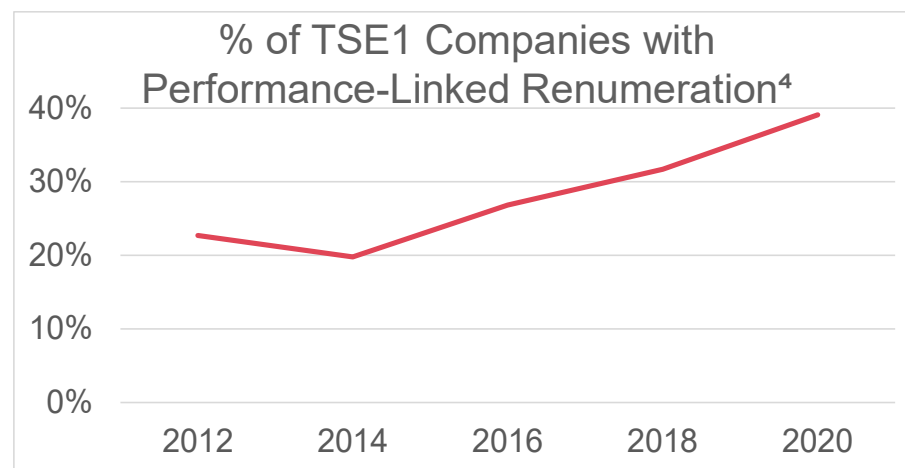
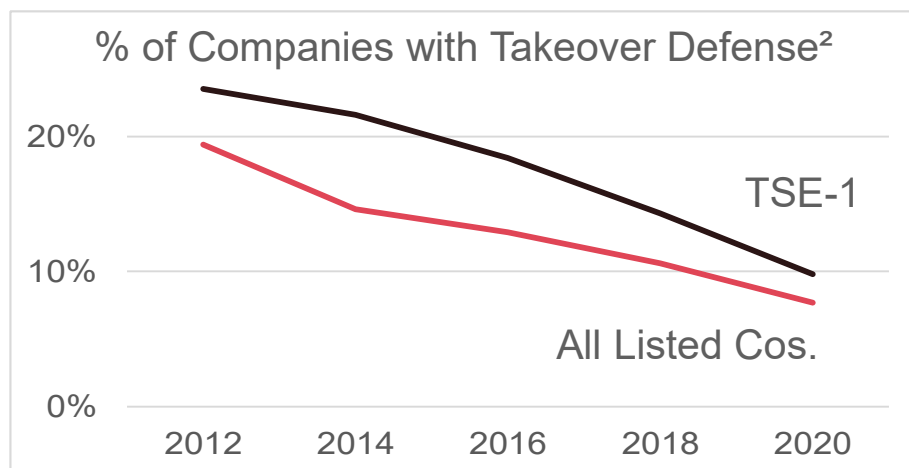
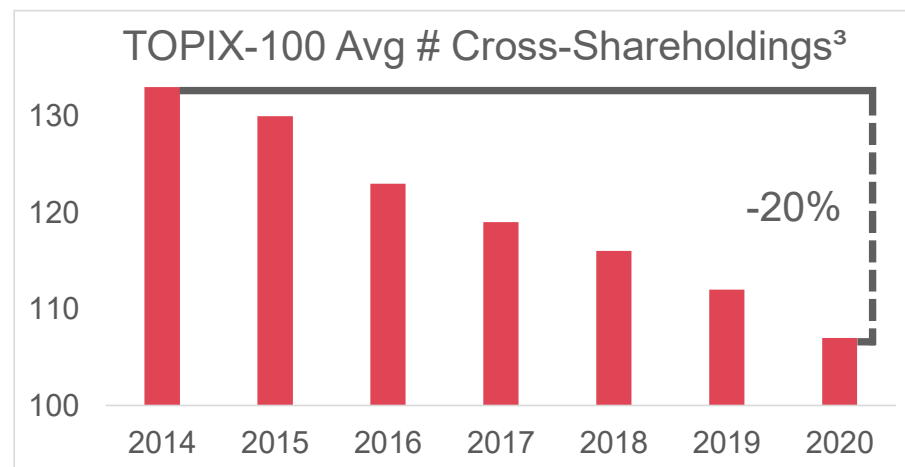
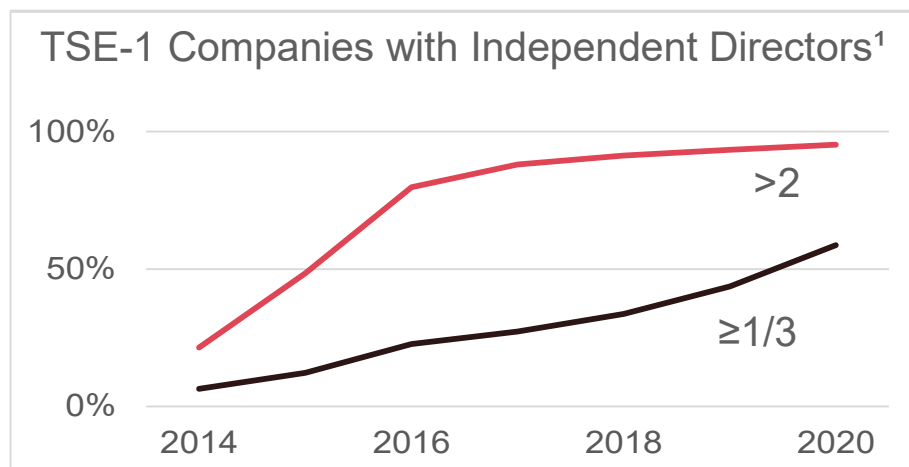
Positive trends in regulatory reform, corporate governance, shareholder engagement, and corporate events (M&A, buyouts)

Japanese stocks, especially small caps, remain cheap

# Opportunity in Japan: Regulatory Reform

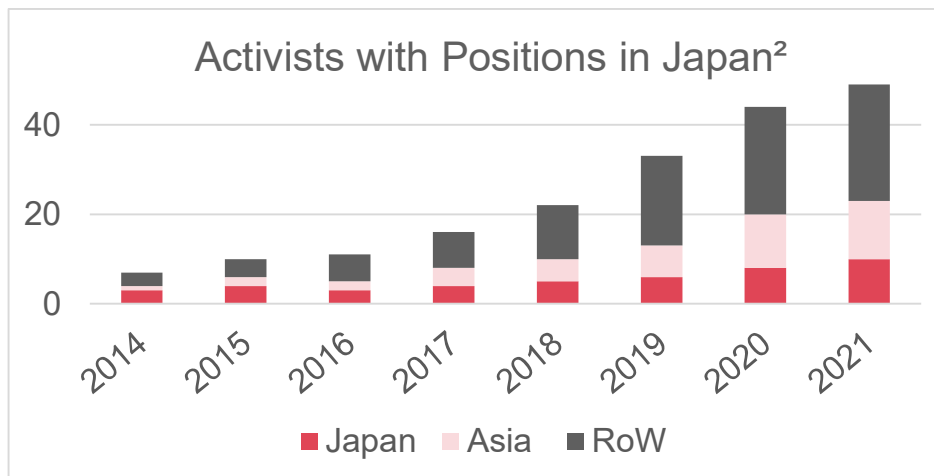
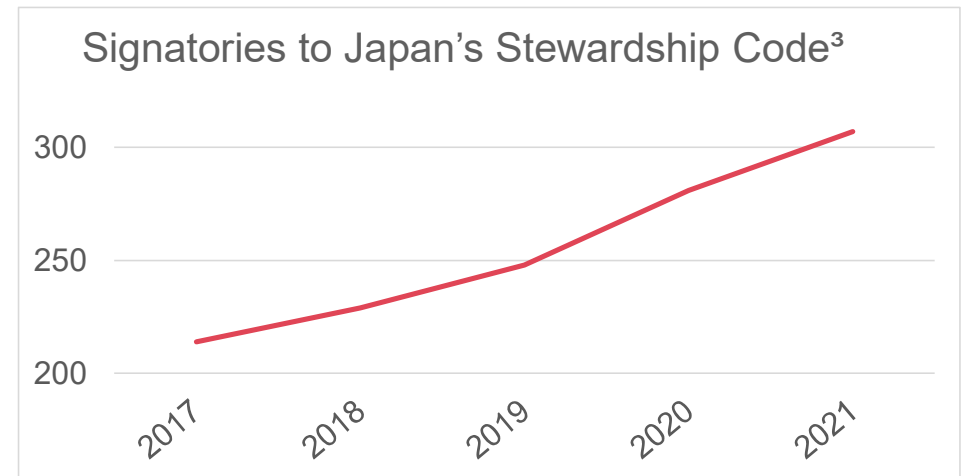
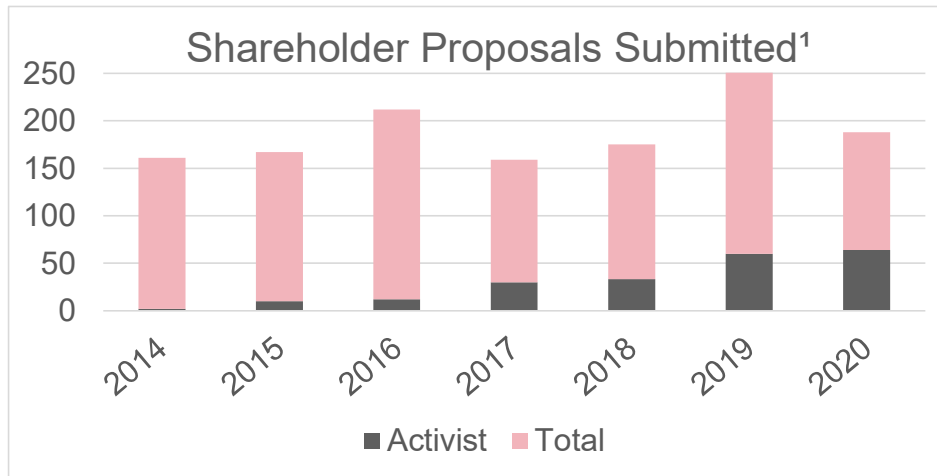
| 2012        | 2013                                                                                      | 2014                    | 2015                                     | 2016                                       | 2017                                                           | 2018                                          | 2019                                           | 2020                              | 2021 +                                           |
|-------------|-------------------------------------------------------------------------------------------|-------------------------|------------------------------------------|--------------------------------------------|----------------------------------------------------------------|-----------------------------------------------|------------------------------------------------|-----------------------------------|--------------------------------------------------|
| Abe Elected |                                                                                           |                         |                                          |                                            |                                                                |                                               |                                                | Suga Elected                      |                                                  |
|             | Japan Revitalization Strategy (corp gov, stewardship, public funds, revised periodically) |                         |                                          |                                            |                                                                |                                               |                                                |                                   |                                                  |
|             | ISS Guidelines (at least one independent director)                                        |                         |                                          |                                            |                                                                |                                               |                                                | Glass Lewis (female directors)    |                                                  |
|             |                                                                                           | ISS Guidelines (5% ROE) |                                          |                                            |                                                                |                                               |                                                |                                   | Glass Lewis (>10% net assets in cross-shares)    |
|             |                                                                                           |                         | ISS Guidelines (multiple ind. directors) |                                            |                                                                |                                               |                                                |                                   | ISS (>20% net assets in cross-shares) as of 2022 |
|             |                                                                                           |                         |                                          | ISS Guidelines (no new advisory positions) |                                                                |                                               |                                                |                                   |                                                  |
|             |                                                                                           |                         |                                          |                                            | Japan's Stewardship Code                                       |                                               |                                                | SC revision (now 316 signatories) |                                                  |
|             |                                                                                           |                         |                                          |                                            | METI's Ito Review (8% ROE target, shareholder engagement)      |                                               |                                                |                                   |                                                  |
|             |                                                                                           |                         |                                          |                                            | JPX 400 Index Established (subsequent adoption by GPIF)        |                                               |                                                |                                   |                                                  |
|             |                                                                                           |                         |                                          |                                            | TSE Guidelines (comply or explain on <2 independent directors) |                                               |                                                |                                   |                                                  |
|             |                                                                                           |                         |                                          |                                            | Revision to Japan Companies Act (>1 ind dir)                   |                                               |                                                |                                   | Revision to Companies Act (more on directors)    |
|             |                                                                                           |                         |                                          |                                            | Japan's Corporate Governance Code                              | CG Code Revision (engagement)                 |                                                |                                   | CG Code Revision (BoD Independence, Parent/Sub)  |
|             |                                                                                           |                         |                                          |                                            |                                                                | METI Practical Guidelines for Corp Gov System |                                                |                                   |                                                  |
|             |                                                                                           |                         |                                          |                                            |                                                                |                                               | METI Revises M&A Guidelines (unch. since 2007) |                                   |                                                  |
|             |                                                                                           |                         |                                          |                                            |                                                                |                                               |                                                | TSE reform agenda announced       |                                                  |
|             |                                                                                           |                         |                                          |                                            |                                                                |                                               |                                                |                                   | FSA Guidelines for Engagement                    |

# Opportunity in Japan: Corporate Governance



Sources: (1) Tokyo Stock Exchange, Nov. 2020 (2),(3),(4) Tokyo Stock Exchange, WPCG 2021

# Opportunity in Japan: Shareholder Engagement



## Activists no Longer Vilified by Media

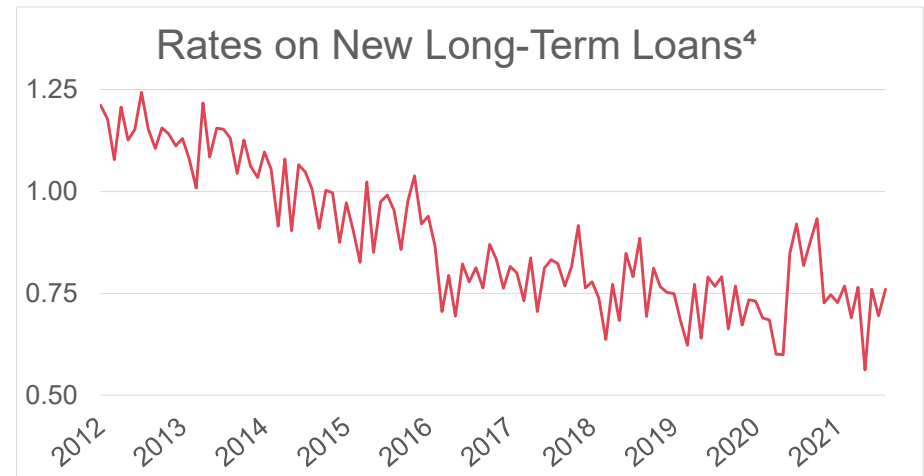
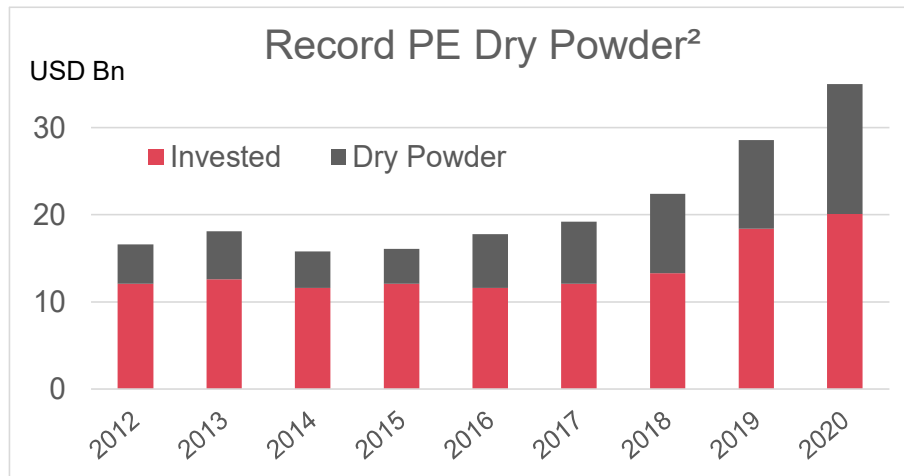
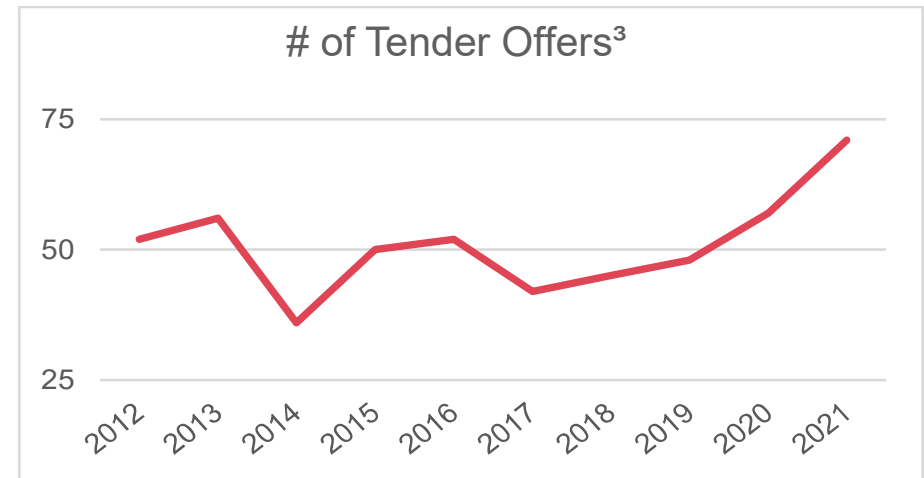
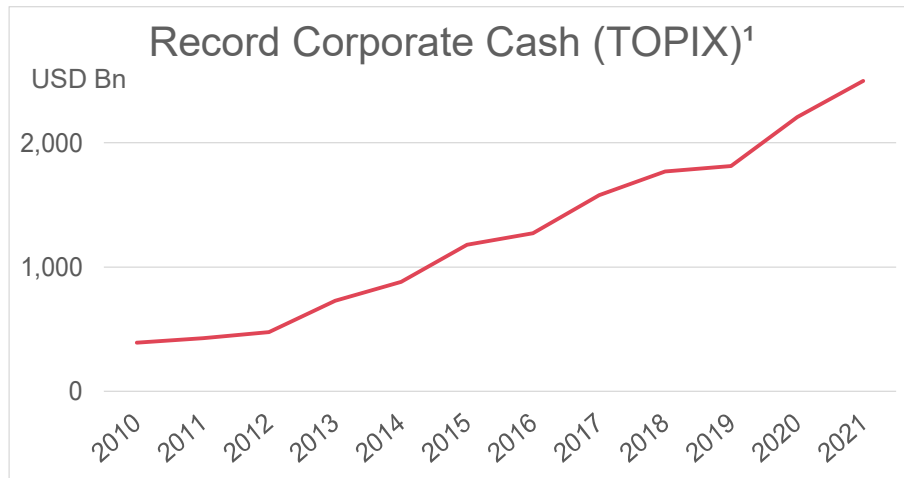
**Murakami-backed fund exposes sweet insider deal at Japan Asia Group – Nikkei, 3/2/2021**

**Hong Kong activist fund gives locals cover to betray TSE landlord – Nikkei, 5/18/2021**

**Toshiba colluded with government against investor, probe finds – Nikkei, 6/11/2021**

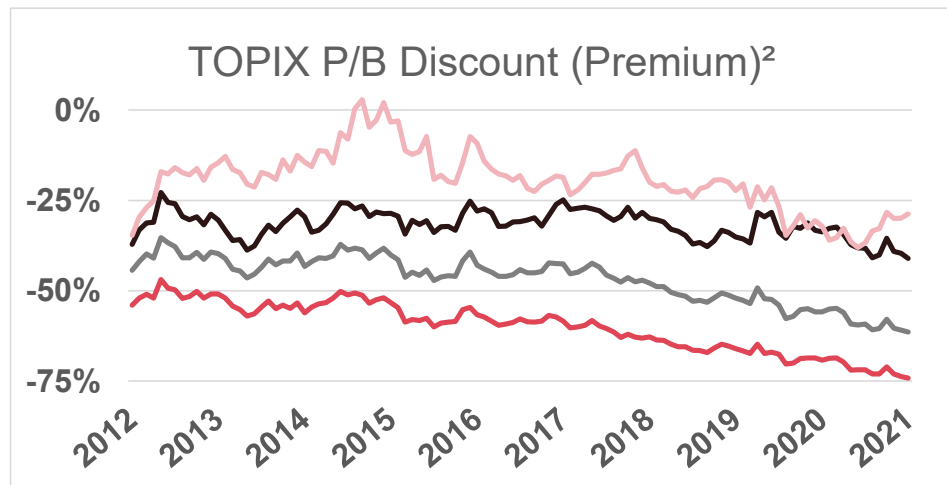
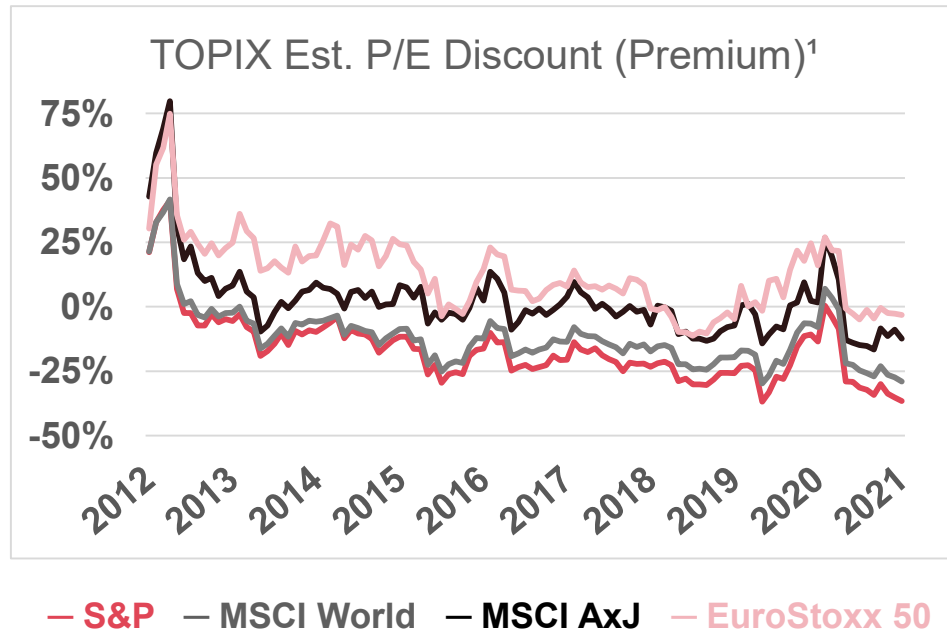
Sources: (1), (2) IR Japan (3) Japan FSA

# Opportunity in Japan: Favorable M&A Environment





# Opportunity in Japan: Japan Discount



Sources: (1), (2) Bloomberg, 12/31/2021

- Current discount levels in Japan are near wides since the onset of Abenomics
- With only modest equity returns, record net income has kept Japanese P/E levels suppressed (TOPIX at 14.4x)
- Cash (and equivalents) on balance sheets is now at an all-time high, despite rising dividends and buybacks
- TOPIX trades at a price to book ratio of 1.3, while the TOPIX Small Cap trades at 0.9

# Opportunity in Japan: Cheap Stocks



- We define “Cheap Stocks” as publicly traded cos. with  $P/B < 0.7x$  and a market cap  $> \$50$  million.
- Japan has ~850 Cheap Stocks, more than any other market.
- Japan comprises ~5% of the world’s market cap, but has ~20%+ of the world’s Cheap Stocks.
- Japan now has more Cheap Stocks than at any time since the onset of “Abenomics” (2012).
- We believe these situations are not sustainable, and that stakeholders will capture value at some point.

Sources: (1), (2) Bloomberg, 12/31/2021

# Opportunity in Japan: How to Invest

| Strategy                         |                                                                   |                                                                 |
|----------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|
| Index / Passive                  | <ul style="list-style-type: none"> <li>• Liquidity</li> <li>• Diversification</li> </ul>                                                           | <ul style="list-style-type: none"> <li>• Limited impact of events</li> <li>• Only large/index names</li> <li>• Macro forces</li> </ul>             |
| Private Equity Fund              | <ul style="list-style-type: none"> <li>• Low cost of capital</li> <li>• Attractive entry valuations</li> <li>• Ability to restructure</li> </ul>   | <ul style="list-style-type: none"> <li>• Mostly private market deals</li> <li>• Mostly auction deals</li> <li>• Unwilling to go hostile</li> </ul> |
| Friendly Engagement / Value Fund | <ul style="list-style-type: none"> <li>• Vast opportunity set</li> <li>• Positive tailwinds</li> <li>• Management access</li> </ul>                | <ul style="list-style-type: none"> <li>• Potential to get stuck</li> <li>• Unwilling to go hostile</li> <li>• Unclear value proposition</li> </ul> |
| Engagement / Activist Fund       | <ul style="list-style-type: none"> <li>• Participate in full campaign</li> <li>• Ability to go hostile</li> <li>• High impact of events</li> </ul> | <ul style="list-style-type: none"> <li>• Exposure to 10-15 stocks</li> <li>• Potential for style drift</li> <li>• High tracking error</li> </ul>   |
| Activist Fund Replication        | <ul style="list-style-type: none"> <li>• Avoid fees</li> <li>• Better liquidity</li> <li>• Exposure to events</li> </ul>                           | <ul style="list-style-type: none"> <li>• Always a step behind</li> <li>• No relationship with fund</li> <li>• Transparency / compliance</li> </ul> |

# Investment Fees and Terms

|                  | Multi-Strategy                                                                    | Co-Investments                               |
|------------------|-----------------------------------------------------------------------------------|----------------------------------------------|
| <b>Class A</b>   | -                                                                                 | 10% Incentive Fee<br>(Guaranteed Capacity)   |
| <b>Class B</b>   | 1% Management Fee                                                                 | 10% Incentive Fee<br>(Management Fee Rebate) |
| <b>Class C</b>   | 1% Management Fee                                                                 | 10% Incentive Fee                            |
| <b>Liquidity</b> | Quarterly / 90<br>(12.5% Investor Gate)<br><br>Accelerated Redemption with 5% fee | Upon Realization                             |

# Service Providers

|               |                          |
|---------------|--------------------------|
| Legal         | Haynes and Boone, LLP    |
| Auditor       | CohnReznick LLP          |
| Administrator | NAV Consulting, Inc.     |
| Prime Broker  | Interactive Brokers, LLC |